



INVISIBLE LABOR, VISIBLE INEQUALITIES: THE UNDERVALUATION OF CHILDCARE

An Analysis of Wage Disparities and Time-Use Gaps in the Care Economy

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March 6, 2026

Executive Summary

Unpaid and paid childcare labor reveal deep gender and racial inequalities. Using national datasets, this report examines disparities in caregiving time and wages, showing that unpaid child caregivers provide labor worth approximately \$70,000 annually while paid child caregivers earn far below comparable occupations. These findings highlight the structural undervaluation of childcare work and the disproportionate burden places on women and notably women of color. Policy interventions are needed to strengthen wage standards and the childcare industry to support both unpaid and paid child caregivers.

Introduction

Childcare is a cornerstone of society, but the people who provide it, disproportionately women, are often underpaid or not paid at all. This report utilizes national survey data to examine how gender and racial disparities exist within both paid and unpaid childcare environments, exposing how the structural undervaluation of care shapes the broader economy.

By analyzing the American Time Use Survey (ATUS), the Current Population Survey (CPS), and the Bureau of Labor Statistics (BLS) data, this study reveals that unpaid primary caregivers provide an estimated \$70,000 worth of annual childcare labor, yet paid childcare workers are paid well below this salary, averaging just \$22,000 annually. Addressing these disparities is essential to establishing fairer wage standards and strengthening the care industry. Together, these patterns illustrate how childcare labor is both essential and structurally undervalued, motivating the central questions of this analysis.

Research Questions

This investigation explores two central questions:

1. What is the economic value of unpaid childcare, and does this value differ by gender, race/ethnicity, and family income?
2. How do wages and demographic patterns in paid childcare occupations compare to similar jobs, and what do these patterns reveal about gender and racial gaps in the care economy?

The investigation of these two questions exposes the structural undervaluation of childcare and the disproportionate distribution of caregiving responsibilities within the care workforce.

Data Description

Unpaid Childcare (ATUS, 2018-2019, 2021-2024): The ATUS provides diary-based measures of daily account of how individuals spend their time. The samples were filtered for adults living in households with at least one child under the age of five. Survey and replicate weights were implemented to generate population-representative estimates.

Paid Childcare (CPS 2023 & BLS 2023): Labor market data come from the Current Population Survey and BLS Occupational Employment Statistics. These datasets provide wages, hours worked, and demographic characteristics for childcare workers, preschool/kindergarten teachers, and workers in all other occupations.

These datasets provide a comprehensive understanding of both time-use patterns and labor market outcomes in the childcare economy.

Methodology

Primary caregivers are defined as adults in an under-five household who provided a minimum of six hours of childcare on their recorded diary day. Employed primary caregivers are primary caregivers who also worked for pay on their recorded diary day. Total childcare hours include the sum of all routine (e.g., feeding, bathing) and developmental (e.g., reading, tutoring) childcare activities, measured in minutes per day and converted to hours. This metric includes both primary focus activities and secondary childcare activities carried out while multitasking.

Demographic measures include gender, race/ethnicity, and family income categories. Gender includes both male and female. Race and ethnicity include Black, White, Hispanic, Asian/Pacific Islander, Native American, and Other/Multiracial. Family income categories include low-income (less than \$40k), middle-income (\$40-\$99,999), and high-income (greater than \$100k).

This analysis uses survey-weighted linear regression models to estimate total daily childcare hours across demographic groups and occupations.

Key Findings: Unpaid Childcare

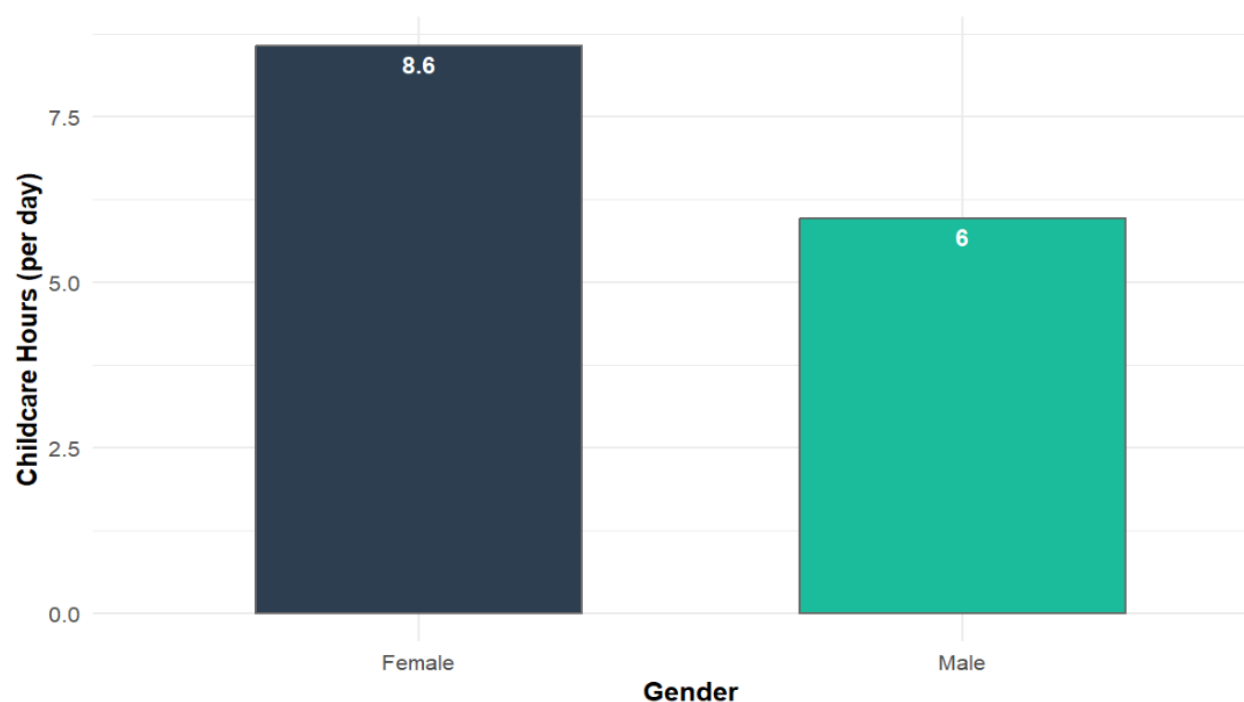
Childcare time is extensive across under-five households

Adults with children under five provide an average of 7.4 hours of childcare per day, including both developmental and routine care. This level of caregiving underscores the intensity of unpaid childcare labor.

Gender Disparities

Women perform significantly more childcare than men. As we see in Figure 1, among adults in under-five households, women provide approximately 8.5 hours of childcare per day compared to an estimated 6.0 hours for men, based on the survey-weighted ATUS estimates. After adjusting for employment, race, and income, women still provide more 1.7 more hours of childcare per day than men, indicating that gender differences persist even after accounting for demographic and work-related factors.

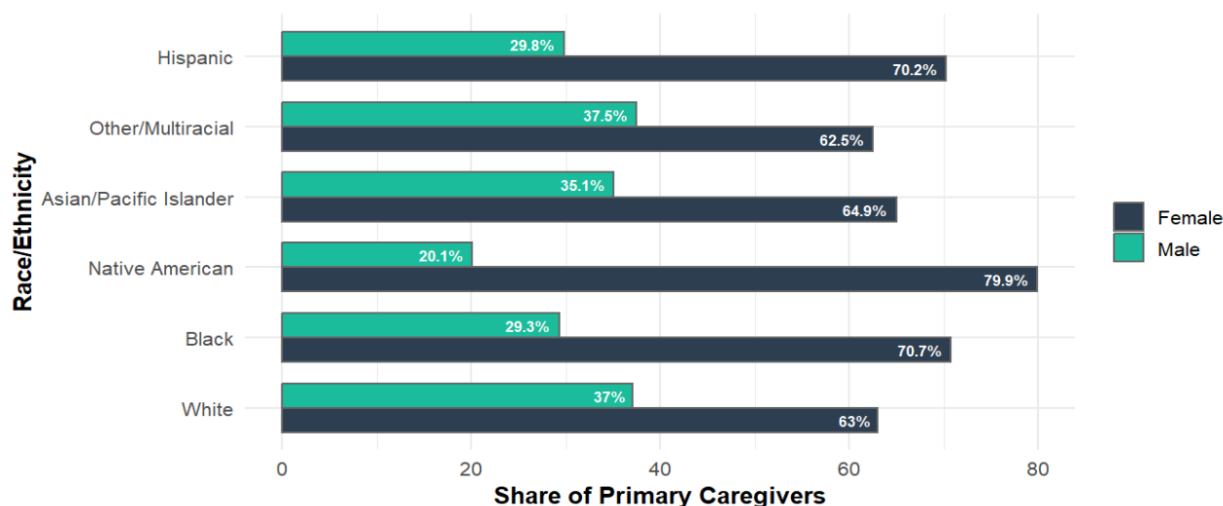
Figure 1. Average Daily Childcare Hours by Gender (Under-Five Households)



Source: Author’s analysis of the American Time Use Survey (ATUS) 2018-2019 and 2021-2024.
Note: Estimates are survey-weighted and include adults living in households with at least one child under age five.

Women represent 65.8% of primary caregivers. Figure 2 reveals across every racial group, women are more likely to be primary caregivers. Gender gaps are the largest among Hispanic, Black, and Native American adults, highlighting the intersection of gender and race in caregiving roles. After adjusting for employment, race, income, women still provide 1.7 more hours of childcare per day than men, indicating gender differences persist even after accounting for demographic and work-related factors.

Figure 2. Gender Caregiving Within Each Racial/Ethnic Group



Source: Author's analysis of the American Time Use Survey (ATUS) 2018-2019 and 2021-2024.

Note: Estimates are survey-weighted and include adults living in households with at least one child under age five.

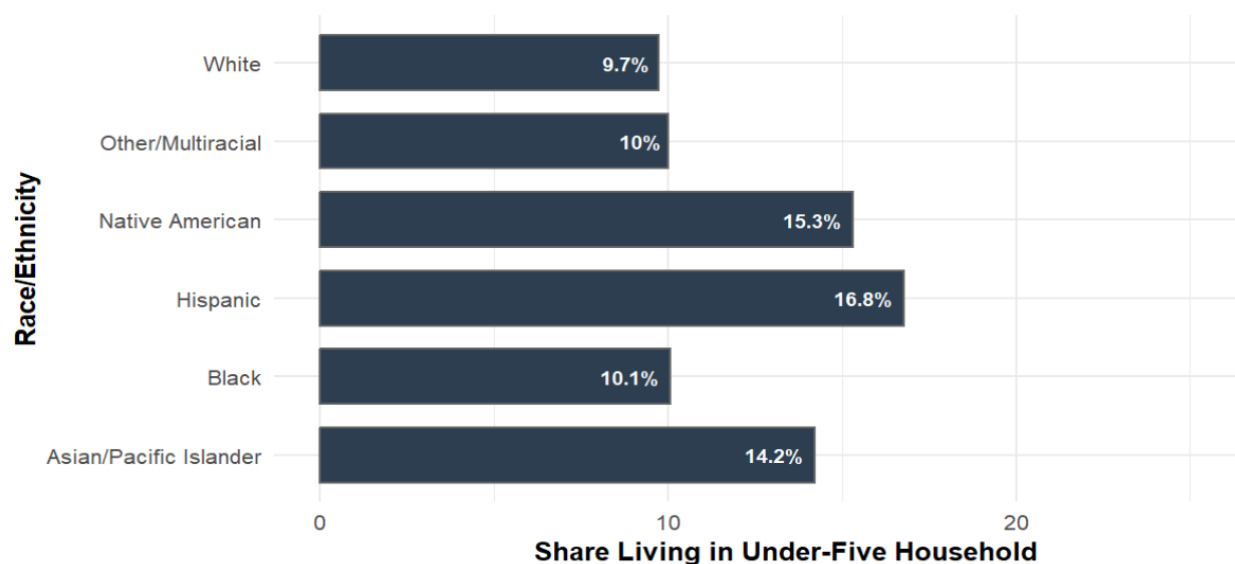
Racial Differences in Household Composition and Caregiving Roles

Caregiving responsibilities also vary by race and ethnicity (see Figure 3). Hispanic and Native American adults are more likely to live in under-five households (16.8% and 15.3%), while Asian and White are less likely (14.2% and 9.7%). These differences shape the distribution of caregiving responsibilities within families, as adults in under-five households are substantially more likely to serve as primary caregivers.

Among adults who do live in under-five households, the likelihood of being the primary caregiver also varies by race and ethnicity. Figure 4 shows White and Asian/Pacific Islander adults have the highest shares of primary caregivers (54.4% and 53.9%), while Black and Native American adults have lower shares (44.0% and 38.3%). Hispanic adults fall in the middle at 51.2%.

These patterns suggest that caregiving roles are shaped not only by household composition but also by structural factors such as income, job flexibility, and access to paid childcare. The next section examines how income varies across racial and ethnic groups among primary caregivers.

Figure 3. Share of Adults living in Under-Five Households, by Race/Ethnicity

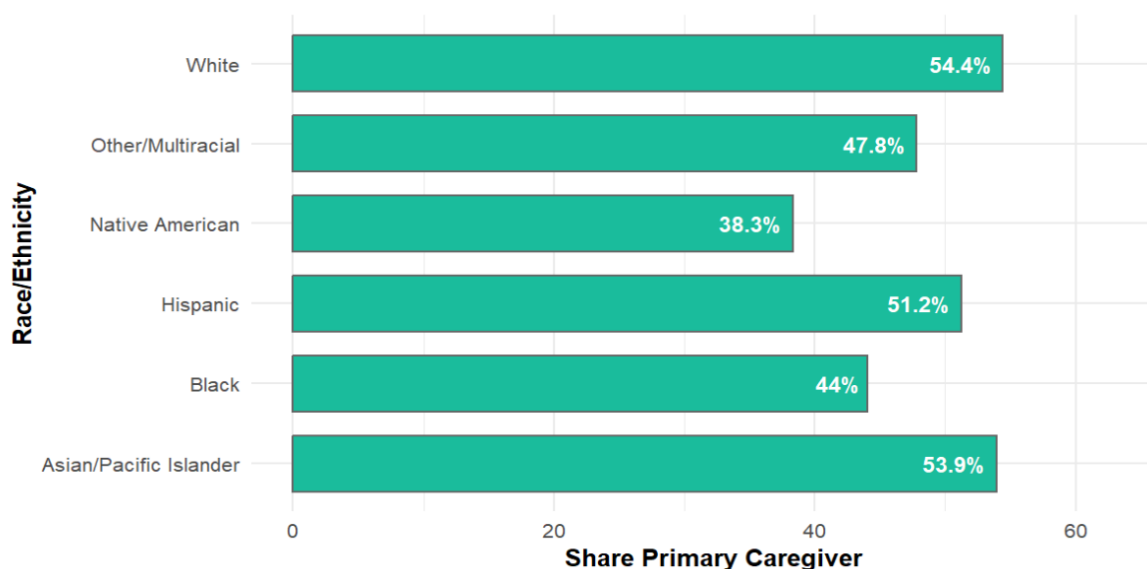


Source: Author's analysis of the American Time Use Survey (ATUS) 2018-2019 and 2021-2024.

Note: Estimates are survey-weighted and include adults living in households with at least one child under age five.

These differences in household composition shape caregiving responsibilities. To understand how caregiving roles vary within households, we see in Figure 4 the share of adults who become primary caregivers across racial and ethnic groups.

Figure 4. Share of Adults Who Become Primary Caregivers, by Race/Ethnicity



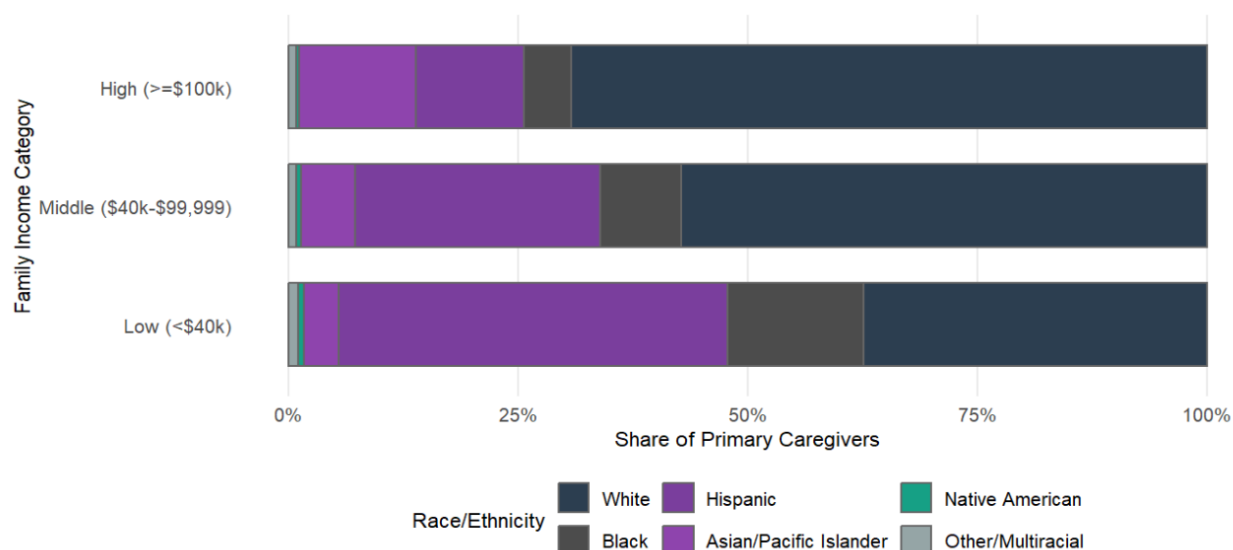
Source: Author's analysis of the American Time Use Survey (ATUS) 2018-2019 and 2021-2024.

Note: Estimates are survey-weighted and include adults living in households with at least one child under age five.

Income Differences Among Primary Caregivers

Income patterns among primary caregivers reveal another dimension of inequality across racial and ethnic groups. White and Asian/Pacific Islander primary caregivers are more likely to live in higher-income households, revealing broader socioeconomic advantages and access to higher wage employment. In contrast, Black and Hispanic primary caregivers are disproportionately concentrated in low-to-middle income households, where childcare responsibilities are often met with more limited financial resources and fewer workplace supports (see Figure 5). These income differences are important to understand how they shape the economic stability of families with young children. Lower-income caregivers may face greater constraints in balancing employment and childcare, while higher-income caregivers may have access to paid childcare, flexible work arrangements, or additional household support.

Figure 5. Family Income by Race\Ethnicity



Source: Author's analysis of the American Time Use Survey (ATUS) 2018-2019 and 2021-2024.

Note: Estimates are survey-weighted and include adults living in households with at least one child under age five.

Employment Strongly Reduces Childcare Time

Employment is the single strongest predictor of childcare time. Working is associated with 4.5 fewer hours of childcare reflecting employment and time availability for childcare. Only 27.7% of primary caregivers worked on their diary day, underscoring how exhaustive caregiving responsibilities limit the ability to engage in employment. Income differences in childcare become much smaller once adjusting for employment status. Employment has a large and direct impact on caregiving time, adults who worked reported substantially fewer hours of childcare, regardless of income level. The remaining differences across income groups are modest, suggesting employment, not

income itself, is the primary factor shaping how much childcare time is provided by caregivers.

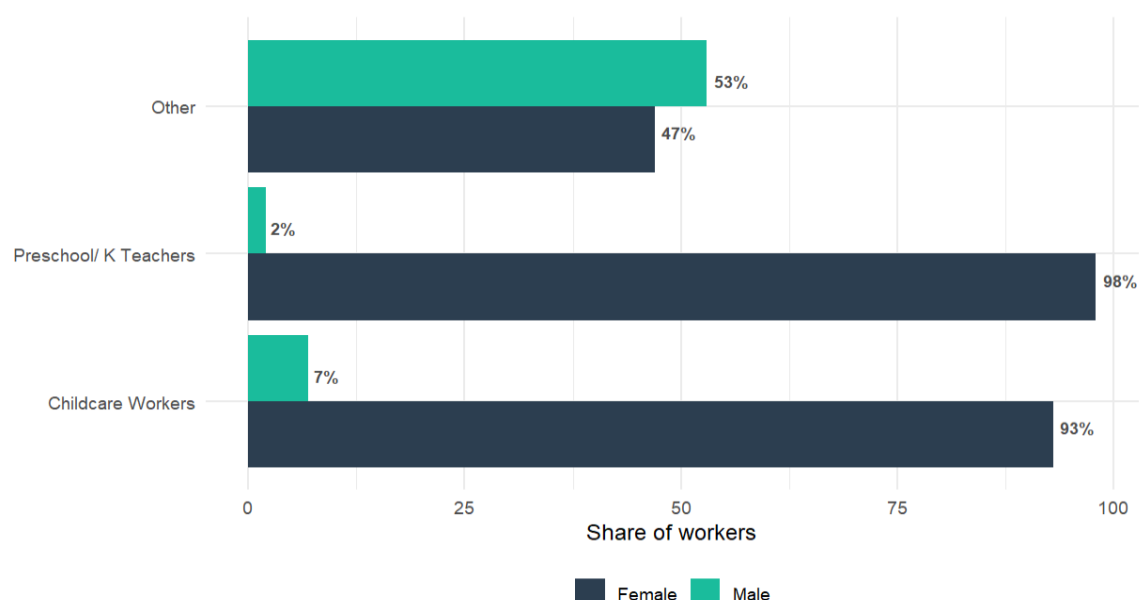
Source: Author's analysis of the American Time Use Survey (ATUS) 2018-2019 and 2021-2024.

Key Findings: Paid Childcare

Paid Childcare Work Is Highly Feminized

Childcare worker is overwhelmingly performed by women. Seen in Figure 6, childcare workers and preschool/kindergarten teachers are 90-98% women, compared to 46.5% of all other occupations. This extreme gender concentration highlights the long-standing occupational separation and the cultural expectation that caregiving is “women’s work”.

Figure 6. Childcare Workers by Gender



Source: Author's analysis of the Current Population Survey (CPS) 2023.

Note: Estimates are survey-weighted and include employed workers aged 16 and older.

Childcare Workers Earn Far Less Than Other Occupations

Childcare workers earn significantly less wages than workers in other occupations, despite providing essential labor that enables parents to participate in the workforce. Average annual wages shown in Figure 7 reveal a stark gap between childcare wages and all other occupations. Childcare workers on average earn annually \$22,000, in contrast to \$70,000 for all other occupations. These wage disparities highlight the structural undervaluation of care labor, even within paid childcare occupations.

Gender and Racial Wage Gaps Are Large

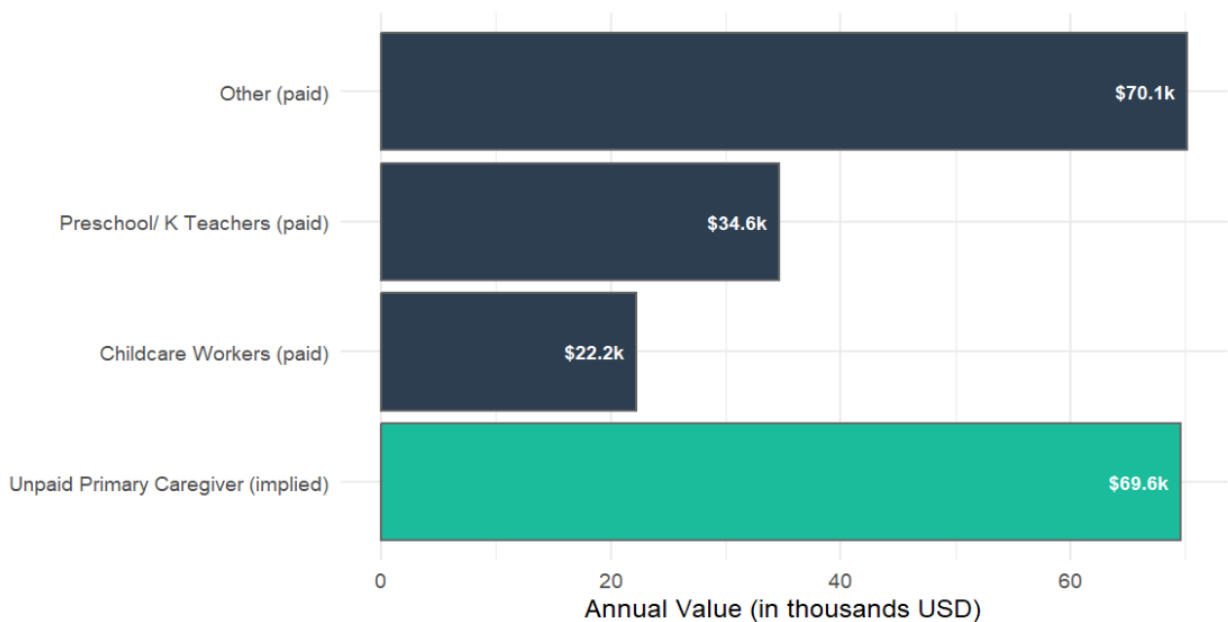
Wage disparities within childcare occupations display broader labor-market inequalities. Men earn approximately \$15,000 more per year than comparable women. Further, racial wage gaps are similarly large with Black and Hispanic workers earning on average approximately \$12,000-\$15,000 less per year than similar White workers, even after accounting for occupation and demographic characteristics.

Source: Author’s analysis of the Current Population Survey 2023.

Economic Valuation of Unpaid Childcare

Primary caregivers provide childcare worth \$69,000 per year at market childcare wages. This imputed value exceeds childcare workers and preschool/kindergarten teacher’s annual wages (see Figure 7). The valuation highlights a core contradiction: unpaid caregivers provide labor equivalent to a full-time salary, yet paid childcare workers earn far below the economic value of the care they provide.

Figure 7. Economic Valuation of Unpaid Childcare



Source: Author’s analysis of the Current Population Survey (CPS) 2023, the Bureau of Labor Statistics (BLS) 2023, and the American Time Use Survey (ATUS) 2018-2019, 2021-2024.

Note: Estimates are survey-weighted and include employed workers aged 16 and older. Annual wages reflect reported wage and salary income in 2023.

Conclusion

Childcare labor, both unpaid and paid, is deeply undervalued and shaped by longstanding gender and racial inequalities. Women, especially women of color, perform the majority of childcare labor, yet they are often unpaid or compensated at wages far below the economic value of their work. The economy relies on this invisible labor while failing to compensate the people who sustain it.

This study highlights how central childcare is to the functioning of society and the broader labor market. The findings provide the evidence crucial for a data-driven catalyst for legislative conversations around fairer wage standards, stronger labor protections, and more equitable access to childcare. Policy makers can assist in closing the gap by establishing enforceable wage standards and compensation for paid workers, narrowing the divide between early educators and K-12 public school teachers. Further, expanding access to publicly subsidized childcare would alleviate the immense, uncompensated burden placed on families, notably women, while strengthening economic stability for both caregivers and the broader workforce. Ultimately, valuing childcare labor, both unpaid and paid, is fundamental to building a more equitable, stable, and economically strong society.

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